AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

HRM215
Compensation and Benefits

Final Examination
2025-2026 / Spring
Version B

13 – June – 2026

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Number of Exam Pages: 3 (including this cover sheet)	**Time Allowed: 2 hours**

Instructions

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF"** mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

Answer ALL the following questions

Question 1: **(50 marks)**

BrightWave Services currently relies mainly on core full-time employees. During high-demand periods, the company experiences overtime costs and staffing shortages. To solve this problem, management is considering hiring part-time workers during busy periods, bringing in temporary employees through an agency, allowing some employees to telecommute, and introducing compressed workweeks in selected departments.

At the same time, employee representatives argue that contingent workers may be paid less, receive fewer benefits, and weaken morale and labor standards. Some managers are also concerned that telecommuting may reduce direct interaction and make performance appraisal more difficult. Senior management is seeking an HR recommendation.

A. Identify and explain ***two*** contingent staffing options and *two* flexible work options available to BrightWave in this case. **(10 marks)**

B. Analyze how these ***four*** options may help the company manage staffing levels, workload fluctuations, and labor costs. **(15 marks)**

C. Evaluate the potential compensation, benefits, and equity and employee-relations issues that may arise from implementing these options. **(15 marks)**

D. Recommend the most appropriate combination of workforce practices for BrightWave and justify your recommendation with reference to organisational needs, employee concerns, and HR best practice. **(10 marks)**

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Question 2: **(50 marks)**

Organizations do not build compensation systems in isolation; they design them in response to competition, labor markets, and strategic priorities. A market-competitive pay system can support recruitment and retention, but only when compensation decisions are aligned with organizational goals.

A. Critically discuss the meaning of market-competitive pay systems **(10 marks)**

B. Discuss the ***four*** activities used by compensation professionals to create market-competitive pay systems. **(20 marks)**

C. Analyze why compensation professionals must balance cost management with attracting and retaining qualified employees. **(10 marks)**

D. Illustrate your answer with appropriate examples. **(10 marks)**

END OF QUESTIONS

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